26900131 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours)

REGULAR EXAMINATION October 2026

Fifth SEMESTER

Discipline Specific Core Course (DSC) - MG5DSCCOM301 - COST ACCOUNTING

Duration: 2 hours (2024 ADMISSION ONWARDS) **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Questions

Answer any **12** questions

Each question carries **1** marks

1. What is Cost centre ? [U] / [CO1]
2. Labour that cannot be directly identified with a particular product or job is called _____ labour. [U] / [CO3]
3. When actual overheads exceed absorbed overheads, the difference is known as _____. [U] / [CO4]
4. The main objective of CASB is to formulate _____ for cost accounting. [U] / [CO1]
5. Which broader discipline includes both costing and cost accounting? [K] / [CO1]
6. Employee cost generally includes wages, salaries and — [K] / [CO3]
7. When carrying cost per unit increases, the EOQ generally — [U] / [CO2]
8. Idle time caused by normal and unavoidable interruptions in production is called — [K] / [CO3]
9. CAS-15 deals with _____ and distribution overheads [K] / [CO4]
10. Material lost during production but considered unavoidable under normal operating conditions is called — [K] / [CO2]
11. The primary purpose of time keeping is to record the — of workers [K] / [CO3]

12. A company incurs factory lighting, office salary, advertisement and carriage outward. Arrange these overheads according to their functional classification. [U] / [CO4]

13. Materials received free of cost should not automatically be assigned a purchase cost because there is — [U] / [CO2]

14. A bonus system in which the bonus is calculated based on the performance of the entire group is known as _____. [U] / [CO3]

[1x12 = 12]

Part B

Short Answer Questions

Answer any **4** questions

Each question carries **7** marks

15. Discuss the major methods of Costing and explain their applicability in different business situations. [U] / [CO1]

16. From the following data, calculate total monthly remuneration of three workers A, B and C under the "Gantt's Task and Bonus Scheme". [A] / [CO3]
(i) Standard production per month per worker is 1,000 units.
(ii) Actual production during the month:
A — 850 units, B — 1,000 units and C — 1,100 units.
(iii) Piece work rate — 50 paise per unit.

17. Calculate the Machine Hour Rate from the following particulars: [A] [CO4] [A] / [CO4]

Particulars	Details
Cost of Machine	₹1,20,000
Installation Charges	₹10,000
Scrap Value	₹5,000
Estimated Life	10 years
Rent per Month	₹2,000; Machine occupies 1/5 of factory space
Insurance per Annum	₹1,000
Repairs per Annum	₹2,000
Power Consumption	6 units per hour @ ₹1 per unit
Working Hours	2,000 hours per annum
Supervisor's Salary per Month	₹2,500; 1/5 of his time is spent on the machine

18. A publishing house purchases 60,000 units of a particular item of material per year at a unit cost of Rs. 40 each. The following further data are available: [A] / [CO2]

- Annual return on investment: 12%
- Rent, insurance and tax per unit per annum: Rs. 8
- Cost of placing an order: Rs. 120

Determine: (1) EOQ, (2) Frequency of orders in terms of days

19. Define Labour Turnover and explain its significance in cost accounting. [U] / [CO3]

20. Compute works cost from the following, where indirect wages are 50% of direct wages; indirect materials are 50% of direct materials; and indirect expenses are 100% of direct expenses. [A] / [CO1]

Particulars	Rs.
Direct expenses	10,000
Direct wages	30,000
Direct materials	10,000

[7x4 = 28]

Part C

Essay Questions

Answer any **2** questions

Each question carries **15** marks

21. A company has three production departments and two service departments and for a period the departmental distribution summary has the following totals: [A] / [CO4]

	Production Departments			Service Departments	
	P1	P2	P3	S1	S2
Total Overheads (Rs)	800	700	500	234	300

The expenses of the service departments are charged out on a percentage basis as follows:

	A	B	C5	X	Y
S1 Deptt	20%	40%	30%	---	10%
S2 Deptt	40%	20%	20%	20%	---

Prepare a statement showing the apportionment of two service departments expenses to production departments by Simultaneous Equation Method.

22. From the following information obtained from the costing records of XYZ Ltd. for June 2026, prepare a statement showing the following: [A] / [CO1]

Particulars	On June 1 (₹)	On June 30 (₹)
Cost of Raw Materials	70,000	55,000
Cost of Work-in-Progress	15,000	20,000
Cost of Finished Goods	95,000	1,20,000
Purchases of Raw Materials during June	—	5,00,000
Direct Wages Paid	—	2,60,000
Factory Overheads	—	1,10,000
Administration Overheads	—	60,000
Selling & Distribution Overheads	—	30,000
Sales	—	11,00,000

Prepare a statement showing:

a) Raw Materials Consumed

b) Prime Cost

c) Factory Cost

d) Cost of Production

e) Cost of Goods Sold

f) Net Profit

23. The standard time for a job is 12 hours and the wage rate is ₹80 per hour. A worker completes the job in 9 hours. Calculate his earnings under (a) Halsey Bonus Plan (50%), (b) Halsey-Weir Premium Plan, and (c) Rowan Plan. Compare the earnings under the three incentive plans. [A] / [CO3]

[15x2 = 30]